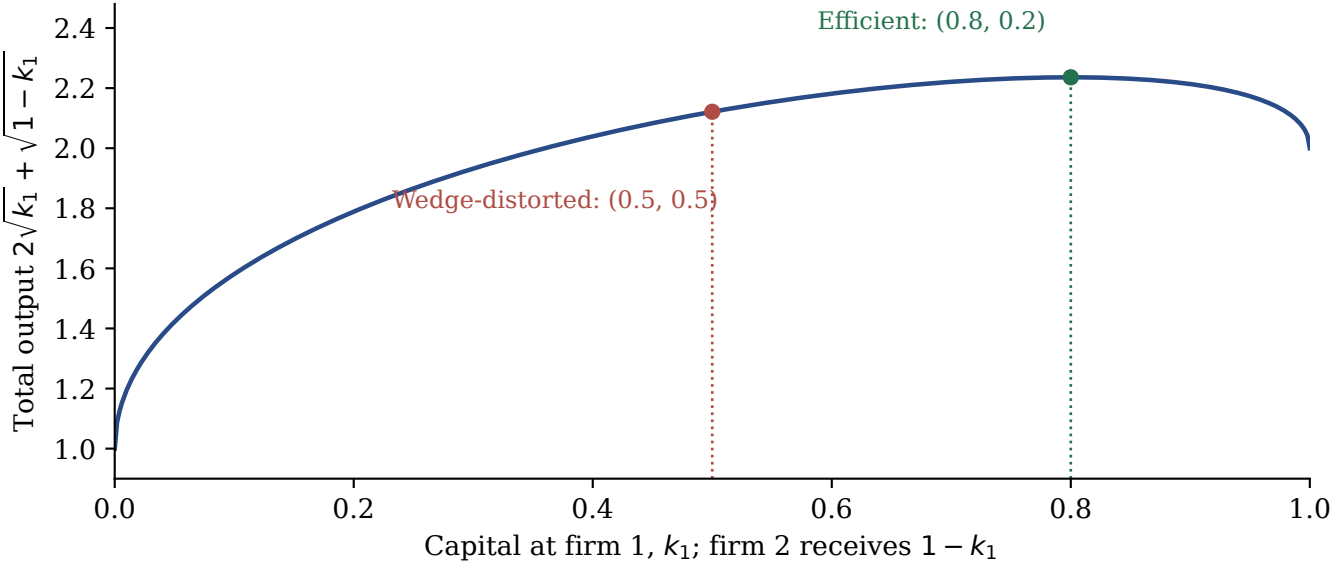
Efficient: (0.8, 0.2)
Wedge-distorted: (0.5, 0.5)
Total output $2\sqrt{k_1} + \sqrt{1 - k_1}$
Capital at firm 1, k_1; firm 2 receives $1 - k_1$
2.4
2.2
2.0
1.8
1.6
1.4
1.2
1.0
0.0
0.2
0.4
0.6
0.8
1.0